

|               |               |
|---------------|---------------|
| Company Name  | Alphabet Inc. |
| Ticker        | GOOGL         |
| Market Cap    | \$4.39T       |
| Revenue       | \$402.84B     |
| EBITDA        | \$180.70B     |
| Total Debt    | \$95.88B      |
| Current Price | \$359.68      |

Target: Spotify Technology S.A.

|               |                         |
|---------------|-------------------------|
| Company Name  | Spotify Technology S.A. |
| Ticker        | SPOT                    |
| Market Cap    | \$99.11B                |
| Revenue       | \$17.19B                |
| EBITDA        | \$2.36B                 |
| Total Debt    | \$476.00M               |
| Current Price | \$482.00                |

Valuation Bridge (EV / EBITDA)

| Metric               | GOOGL     | SPOT     |
|----------------------|-----------|----------|
| EBITDA               | \$180.70B | \$2.36B  |
| Enterprise Value     | \$4.36T   | \$93.29B |
| EV / EBITDA Multiple | 24.1x     | 39.58x   |

SPOT trades at a higher EV/EBITDA multiple (39.6x) than GOOGL (24.1x), implying the deal is priced at a premium to the acquirer's own market valuation -- synergy delivery is essential to justify the spread.

DCF Valuation (5-Year Projection + Terminal Value)

|                       |          |
|-----------------------|----------|
| PV of Free Cash Flows | \$10.00B |
| PV of Terminal Value  | \$29.22B |
| DCF Enterprise Value  | \$39.22B |
| Implied Share Price   | \$219.05 |

|                   |                     |           |
|-------------------|---------------------|-----------|
| DCF Implied Price | Discount / Discount | Premium % |
| \$219.05          | Discount            | -54.6%    |

DCF implies a 54.6% discount to the current market price. Deal appears potentially expensive at current terms.

M&A Rationale Summary

PitchOS | M&A Rationale Report of Spotify Technology S.A. at an EV/EBITDA of 39.6x. DCF analysis: [GOOGL](#) > [SPOT](#)  
discount to the current market price. 3 risk flags were identified by automated screening. Analyst recommendation: full review required -- multiple risk flags warrant detailed scrutiny.

### Automated Deal Risk Flags

- Target trades at elevated multiple (39.6x EV/EBITDA) -- deal may be expensive
- Target revenue is 4.3% of acquirer revenue -- tuck-in acquisition with limited synergy scale
- DCF suggests target is overvalued at current price (implied \$219.05 vs market \$482.00)

*Flags are algorithmically generated. Analyst review required before distribution.*